

YELP INC YELP

August 27, 2026 - 12:29am EST
by

ATM

2026 2027

Price:	22.63	EPS	0	0
Shares Out. (in M):	54	P/E	0	0
Market Cap (in \$M):	1,229	P/FCF	0	0
Net Debt (in \$M):	6	EBIT	0	0
TEV (in \$M):	1,235	TEV/EBIT	0	0

Description

Yelp, Inc. (NYSE: YELP)

Background

Yelp is a local discovery and advertising platform whose mission is to connect consumers with local businesses. The company has built a trusted consumer destination around more than 300 million ratings and reviews spanning a broad range of local business categories. This large base of human-generated content attracts a high-intent audience of consumers researching and preparing to transact with local businesses, creating the foundation for Yelp's value proposition to advertisers.

Yelp monetizes this audience primarily through advertising products sold to businesses of all sizes. Advertising represented approximately 95% of revenue in 2025, with the majority generated from performance-based cost-per-click Yelp Ads that appear in sponsored search results and on relevant business pages, as well as through the Yelp Ads Network. The company also offers a broad suite of products for multi-location advertisers, business-page upgrades, attribution and audience products, and tools such as Request-a-Quote. Yelp sells through local and multi-location sales teams, a growing self-service platform, and advertising partners.

Beyond advertising, Yelp is expanding into subscription, transaction and data-licensing businesses. These include Yelp Guest Manager, AI-powered Yelp Host and Yelp Receptionist, and Hatch, an AI-powered lead-management platform acquired to help services businesses capture and manage leads. Yelp also licenses its proprietary local content through the Yelp Places API, Yelp Insights API and Yelp AI API, while facilitating transactions through integrations such as DoorDash. The company sees AI as a significant opportunity to evolve Yelp from a discovery platform toward an "actions and answers" platform, using its trusted local content to power conversational search and tools that help businesses manage the customer lifecycle.

Advertising Business

Yelp's advertising model is fundamentally performance-based across both categories: businesses set an advertising budget, and Yelp's automated auction determines where ads appear and what advertisers pay, primarily on a cost-per-click (CPC) basis. RR&O (Restaurants, Retail & Other) is more oriented toward driving consumer visits and transactions—for example, a restaurant or retailer pays to appear prominently when a consumer is searching for a relevant business. Services—home, local, auto, professional, pets, etc.—is more lead-oriented: Yelp can match a consumer with a service provider through search or Request-a-Quote, and the advertiser is effectively buying the opportunity to win that job. Management emphasizes that advertisers ultimately care less about CPC than cost per lead and the quality/conversion of the lead.

Here are the key metrics over the last few years:

	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025	LTM 2Q26
Services revenue	\$607.8	\$693.8	\$793.1	\$879.0	\$947.6	\$950.0
Growth (YOY)		14%	14%	11%	8%	0%
RR&O revenue	\$377.5	\$440.6	\$483.4	\$470.0	\$443.7	\$420.6
Growth (YOY)		17%	10%	-3%	-6%	-10%
Total Ad revenue	\$985.2	\$1,134.4	\$1,276.5	\$1,349.0	\$1,391.3	\$1,370.5
Growth (YOY)		15%	13%	6%	3%	-3%
Paying locations by category:						
Services locations (in thous.)	219	231	245	250	250	259
Growth (YOY)		5%	6%	2%	0%	0%
Service revenue per location (in \$)	\$2,677.40	\$3,003.51	\$3,318.46	\$3,488.46	\$3,683.44	\$3,736.22
Service revenue growth per location		12%	10%	5%	6%	1%
RR&O locations (in thous.)	309	314	299	271	246	251
Growth (YOY)		2%	-5%	-9%	-9%	-2%
RR&O revenue per location (in \$)	\$1,273.04	\$1,347.38	\$1,527.35	\$1,711.94	\$1,755.47	\$1,706.33
RR&O revenue growth per location		6%	13%	12%	3%	-3%

RR&O has been the more challenged side of Yelp's business, with revenue trends pressured by a combination of weaker consumer spending and cautious advertiser budgets. Management has noted particular pressure on restaurants, as inflation and higher costs have weighed on consumers' willingness to dine out and on businesses' ability to spend on advertising. Unlike Services, which historically grew at a consistent double-digit rate, RR&O has been a slower-growth business and remained under pressure through 2025 and into 2026.

Management is seeing some encouraging signs in paying advertising locations and traffic, but does not expect a sharp near-term recovery and continues to characterize the broader local economy as challenging.

Services has historically been Yelp's stronger and faster-growing business, with consistent double-digit growth through early 2025, but it decelerated sharply beginning in 2025. Management attributed the slowdown primarily to a more cautious small-business environment, with tariffs and broader economic uncertainty causing service businesses to pull back on advertising, while weaker consumer spending has also reduced the size of projects—particularly in Home Services, where consumers have traded down from remodels to repairs and from repairs to DIY. Despite the near-term pressure, Yelp remains optimistic about the long-term opportunity in Services given its ability to generate high-intent leads, and sees AI tools such as Yelp Assistant and Hatch as potentially improving lead quality and conversion, which could ultimately increase advertisers' ROI and willingness to spend.

Growth Products

Yelp Guest Manager is a subscription-based suite of front-of-house management tools designed primarily for restaurants, nightlife venues and other hospitality businesses. It helps businesses manage the customer experience from reservation through seating, including online reservations, waitlist management and seating/server rotation. The waitlist functionality allows consumers to check estimated wait times and join a waitlist remotely, including through hostless kiosks. For Yelp, Guest Manager represents an expansion beyond advertising into recurring software revenue and gives the company a deeper operational relationship with businesses.

Yelp Host are AI-powered phone assistants designed to automate inbound calls and capture customer demand. Yelp Host is focused on restaurants and can answer calls, manage reservations, communicate wait times, text takeout-order links to customers and answer common questions. Yelp Host recently added functionality to allow restaurants to automate order taking from callers who want to make and order for pickup. This functionality is a big win for restaurants since it automates a tedious and time intensive step of taking down order details and allows the restaurant to funnel consumers to an option that does not have the significant commissions of a deliver order. This new feature is fully integrated into the restaurant's POS system.

Yelp Receptionist is also an AI-powered phone assistants which is designed for service businesses and uses AI to ask questions about a customer's project, capture important details, qualify leads and collect the information needed to provide a quote or schedule an appointment. The strategic significance is that Yelp is using AI to move beyond simply generating leads through advertising toward helping businesses actually handle and convert those leads, potentially increasing the value Yelp provides per business. One pain point for many services businesses is interacting with a lead the moment the lead first reaches out for help/scheduling/info. This is because many services businesses are small in size and generally already serving their current book of business – they are in the field on a service call. Automating the customer interaction allows the new lead to get assistance without a human involved at the outset. Prior to this automation, many small services businesses would simply lose the lead to the next competitor who actually was available to take the inbound call with a human.

Hatch is an AI-powered lead-management platform that Yelp acquired that is focused Services businesses. It uses customizable AI agents to engage with customers across SMS, email and live calls, helping businesses respond to inquiries, qualify leads, drive bookings and provide customer service. Importantly, Yelp intends Hatch to be available to businesses whether or not they advertise on Yelp, making it strategically different from traditional Yelp Ads: rather than monetizing primarily the acquisition of customer demand, Hatch is intended to help businesses manage demand once it arrives. Yelp describes Hatch as the starting point for a broader effort to build or acquire technology that manages the full customer lifecycle—from lead generation through lead management and beyond—and views subscription software as a way to diversify revenue and deepen business relationships. Yelp acquired Hatch in February 2026 for approximately \$270 million in cash, plus approximately \$30 million of employee retention packages

Yelp AI API is essentially a licensing layer for Yelp's proprietary local-business content. AI platforms such as OpenAI can access Yelp's ratings, reviews, business information and other local content in response to a user's query, and then incorporate that information into the AI-generated answer. Yelp is supplying the authoritative local data behind the AI experience, rather than simply allowing an AI company to train its model on Yelp's content. Yelp specifically decided against broadly licensing its data for model training because it believed that it would likely erode the value of its competitive advantage; instead, it wants to monetize the content when it is actually used in the live consumer experience.

The OpenAI partnership shows how this works in practice. Yelp said in Q2 that its ratings and reviews are now powering ChatGPT's local experience in relevant categories. ChatGPT can display Yelp ratings, review snippets and links back to Yelp, and Yelp is also integrating Request-a-Quote, allowing a consumer to potentially discover a service provider in ChatGPT and then submit a lead to that business through Yelp.

The key question is whether this cannibalizes Yelp's core business. There is some risk: if consumers increasingly get everything they need from ChatGPT, they may stop visiting Yelp directly, reducing Yelp's traffic and therefore its advertising opportunities. But Yelp's strategy is designed to offset that risk in two ways: first, it gets paid licensing revenue when its content is used outside Yelp; second, it retains opportunities to monetize the resulting consumer intent through links, leads and transactions. Yelp specifically says it is seeing traffic back from other platforms and believes consumers will click through when they want more information.

In other words, Yelp is trying to turn AI from a disintermediator into a new distribution channel: instead of requiring the consumer to start at Yelp, Yelp can monetize its proprietary content wherever the consumer starts. The best part is that Yelp gets paid twice—a licensing fee from the AI platform for the content, and then advertising/lead/transaction economics when that AI-driven consumer engages with a Yelp business. This is why management views licensing as a potentially significant part of its move toward the \$250 million+ Other-revenue run rate target by the end of 2028, rather than simply viewing AI as a threat to its existing advertising business.'

One key point about data licensing, Yelp's data should be viewed as a living, continuously depreciating asset rather than a static database. Local business information has a relatively high rate of natural decay because the underlying universe is constantly changing: roughly 43% of U.S. businesses that start in a given year are no longer operating five years later, according to BLS data, while even businesses that survive can change ownership, location, hours, pricing, services and operating characteristics. This means the usefulness of Yelp's historical data is not analogous to buying a book and reading it once—the local-business landscape is continuously evolving, requiring an ongoing stream of new reviews, business updates and other signals to maintain the relevance and accuracy of the dataset. Yelp added 22 million new reviews in 2025, bringing its cumulative total to 330 million, and its systems continually reassess content as new information becomes available. This natural information decay creates an important recurring characteristic for data licensing revenue: customers need access to the *current* Yelp dataset, not simply a one-time historical copy, because the value lies in having an up-to-date representation of local businesses. That makes data licensing inherently more recurring than a traditional sale of intellectual property, and helps explain why Yelp can continue to renew and expand licensing relationships as AI and other applications increasingly require fresh, reliable local-business information.

Management has been quite bullish on the profitability of Other revenue. On the February 2026 earnings call, CFO David Schwarzbach said that while SaaS businesses have a different margin profile than advertising initially, he expects Yelp's SaaS margins to converge with, or eventually exceed, the margins of the advertising business. More importantly, he said licensing and transaction revenue are "almost entirely margin" and that Other revenue already has, in aggregate, a better margin profile than the advertising business.

Valuation

Yelp has not been completely clear on the long-term framework, but there are a few key points:

- The key target is to build Other revenue to at least a \$250 million annual run rate by the end of 2028. Management views this as a major source

of incremental growth and diversification beyond the advertising business.

- On profitability, management characterizes 2026 as an investment year: adjusted EBITDA is expected to fall to \$315-\$325 million versus \$369 million in 2025 as Yelp invests in AI, Hatch and customer acquisition. But the expectation is that these investments produce long-term margin expansion, both by driving higher revenue and by making Yelp more productive through AI.
- Yelp intends to reduce stock-based compensation to less than 6% of revenue by the end of 2027, versus below 8% currently.
- The shareholder-return strategy is now quite clear: reinvest in high-return organic opportunities, make strategic acquisitions, and return more than 50% of free cash flow to shareholders through share repurchases each year. Yelp generated \$324 million of FCF in 2025, a 22% margin, and repurchased \$292 million of stock. The Board subsequently authorized another \$500 million of buybacks. Management has temporarily paused repurchases in 2026 to pay down the revolver after the \$270 million Hatch acquisition, but expects to resume them in 2027.

In 2026, Yelp is clearly sacrificing some near-term EBITDA to build a faster-growing, more diversified business around Services + AI/SaaS + licensing, while maintaining a structurally high-FCF model. If Other revenue reaches \$250M+ of run rate, Services reaccelerates, and AI produces the expected operating leverage, management believes revenue growth and margins can expand simultaneously. The resulting cash flow is intended to be returned aggressively to shareholders, with buybacks providing a meaningful per-share earnings/FCF growth lever on top of underlying business growth.

In our Yelp model, we have revenue growing LSD to MSD% over the next five years. We believe that EBITDA margins will improve slightly to 23%. Yelp should generate a ton of FCF and be able to materially shrink its share count. We believe that over the next five years share count will decline by 24mm shares even after accounting for issuance under SBC.

Our valuation is based on 6x Adjusted EBITDA multiple and we see the stock as being worth \$45/share by 2028 and \$58/share by 2030. Given our modest increase in both revenue and margins and our low multiple, we see this as a pretty conservative view. The shares of Yelp are so beaten down that on a LFCF basis the shares currently have a 20% yield. To put this yield into perspective, our LFCF totals for FY2026 to FY 2030 (five years) are equal to the current market cap. We can certainly point to other similar yields in the market, but they are most often associated with highly levered balance sheets where there is at least some doubt about how the debt gets paid back. We compare that to the balance sheet here at Yelp which has roughly the same amount of cash and debt.

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Catalyst

Buybacks

More AI licensing deals

Messages

No messages